

Bank of Leeds Investment Proposal

Yorkshire Heritage Living

A Premium Multi-City Apartment Development Programme Across Yorkshire

Investment Committee Business Case

Prepared for: Bank of Leeds – Property & Infrastructure Investment Division

Sector: Build-to-Rent / Residential Development / Urban Regeneration

Investment Horizon: 10 years

Executive Summary

This proposal recommends that Bank of Leeds creates a dedicated **Yorkshire Heritage Living Fund** to develop a portfolio of premium apartment complexes across Yorkshire.

The strategy:

Build high-quality, architecturally distinctive apartment buildings in Yorkshire's strongest urban and tourism markets, creating a long-term income-producing residential asset portfolio.

The programme would deliver:

- 10 premium apartment developments,
- approximately 1,500 apartments,
- £300m+ property portfolio value,
- long-term rental income,
- capital appreciation.

The developments target:

- young professionals,
- graduates,
- relocating London workers,
- academics,
- NHS professionals,
- entrepreneurs,
- retirees seeking city living.

Leeds has already become a significant build-to-rent market, with thousands of operational and pipeline units and continued institutional investment interest.

Investment Thesis

Yorkshire has a housing quality gap

Yorkshire has strong demand drivers:

- Leeds financial centre,
- Sheffield advanced manufacturing economy,
- York tourism and universities,
- Harrogate professional market,
- coastal regeneration.

However, much apartment development has historically focused on:

- student accommodation,
- basic city-centre flats,
- low-cost investor units.

The opportunity:

Create the "premium Yorkshire apartment" category.

Development Vision

Brand:

Yorkshire Heritage Living

A portfolio of:

- Georgian-inspired apartment buildings,
- stone façades,
- landscaped courtyards,
- premium communal spaces,
- modern technology.

Comparable positioning:

- Bath elegance,
 - Edinburgh New Town,
 - London mansion blocks.
-

Portfolio Strategy

10 Developments Across Yorkshire

Location	Apartments
Leeds City Centre	300
York	200
Harrogate	150
Sheffield	250
Ilkley/Otley	100
Wakefield	150
Bradford	150
Scarborough	100
Huddersfield	100
Doncaster	100
Total:	

1,600 apartments

Development Model

Typical Building

Example:

120 apartments

6–8 storeys

Apartment mix:

Type	Percentage
Studios	10%
1 bedroom	40%
2 bedroom	40%
3 bedroom	10%

Average size:

750 sq ft

Architectural Specification

Not standard apartment blocks.

Features:

- Yorkshire stone exterior
 - brick detailing
 - sash-style windows
 - landscaped courtyards
 - underground parking where possible
 - residents lounge
 - gym
 - coworking areas
 - concierge
-

Capital Expenditure Model

Cost Per Development

Example:

150 apartments.

Land Acquisition

Urban regeneration sites:

£3m–£8m

Assumption:

£5 million

Construction Costs

Premium apartment construction:

£250/sq ft

Average apartment:

750 sq ft

Construction:

£187,500/unit

150 apartments:

£28.1m

Professional Costs

Architects:

£1m

Planning:

£500k

Legal:

£300k

Finance:

£1m

Total:

£2.8m

Total Development Cost

Per 150-unit scheme:

Item	Cost
Land	£5m
Construction	£28.1m
Professional fees	£2.8m
Contingency	£2m
Total:	

£37.9 million

10 Development Portfolio Cost

Average:

£35m each

10 × £35m

=

£350 million development programme

Construction Labour Strategy

Yorkshire Heritage Construction Partnership

Use:

- Yorkshire contractors,
 - Polish skilled construction teams,
 - specialist stone masons,
 - craftsmen.
-

Labour Assumption

Premium apartment build:

£65,000/unit labour component.

1,600 apartments:

£104m labour spend.

Employment:

Construction phase:

500–700 workers.

Permanent:

100+ jobs.

Revenue Model

The proposal uses a **Build-to-Rent ownership model**.

Instead of selling apartments:

Bank of Leeds owns the asset.

Rental Assumptions

Leeds Premium Apartment

1 bedroom:

£1,100/month

2 bedroom:

£1,500/month

Average across portfolio:

£1,250/month

Annual Rental Income

1,600 apartments:

$1,600 \times £1,250$

=

£2m/month

Annual:

£24 million

Additional Income

Parking

Average:

£75/month

500 spaces

=

£450k/year

Service Income

Premium amenities:

£50/month average

1,600 units

=

£960k/year

Commercial Units

Ground floor:

cafés, restaurants, shops

Revenue:

£1m/year

Total Annual Income

Source	Income
Rent	£24m
Parking	£450k
Amenities	£960k
Commercial	£1m

Total:

£26.4 million annually

Operating Costs

Management

8%

£2.1m

Maintenance

5%

£1.3m

Insurance/utilities/admin

£1m

Total:

£4.4 million

Net Operating Income

Income:

£26.4m

Costs:

£4.4m

NOI:

£22 million annually

Portfolio Valuation

Residential assets valued on yield.

Assumption:

5.5% yield.

£22m ÷ 5.5%

=

£400 million portfolio value

Investment Return

Development cost:

£350m

Asset value:

£400m

Initial uplift:

£50 million

Plus:

annual rental income.

Five-Year Financial Projection

Year	Units	Rental Income
Year 1	300	£5m
Year 2	700	£11m
Year 3	1,100	£17m
Year 4	1,600	£26m
Year 5	1,600	£27m

Bank of Leeds Funding Structure

Yorkshire Heritage Living Fund

Target:

£350 million

Funding:

Source	Amount
Bank of Leeds lending	£200m
Institutional investors	£100m
Equity partners	£50m

Bank Revenue

Development Finance

Average drawn:

£200m

Interest:

7%

Annual interest:

£14m

Plus:

- arrangement fees,
 - management fees,
 - refinancing opportunities.
-

Strategic Expansion

After Yorkshire:

Potential expansion:

- Manchester
 - Newcastle
 - Midlands
-

Additional Opportunity

Premium Retirement Apartments

Yorkshire has attractive retirement locations:

- Harrogate
- York
- Ilkley

Create:

"Luxury independent living"

Potential:

500 additional units.

Risk Analysis

Risk: Oversupply

Mitigation:

Focus on:

- premium design,
- scarce locations,
- professional tenants.

Leeds' BTR sector has attracted significant investment, suggesting institutional appetite remains strong for professionally managed rental housing.

Risk: Construction Costs

Mitigation:

- repeatable designs,
 - framework contractors,
 - direct labour partnerships.
-

Risk: Interest Rates

Mitigation:

Long-term income-producing asset.

Economic Impact

Construction

500–700 jobs.

Permanent Employment

100+ jobs:

- property management,
 - maintenance,
 - hospitality,
 - administration.
-

Local Supply Chain

£350m construction spend into Yorkshire:

- architects,
 - engineers,
 - manufacturers,
 - trades.
-

Final Investment Recommendation

Create:

Yorkshire Heritage Living Fund

Initial programme:

1,600 premium apartments

Investment:

£350 million

Expected outcome:

Metric	Result
Apartments	1,600
Annual income	£26m
Portfolio value	£400m
Construction jobs	700
Permanent jobs	100+

Strategic Vision

The objective is not simply to build flats.

The objective:

Create Yorkshire's equivalent of London's mansion blocks — beautiful, durable residential assets that become part of the region's architectural heritage.

Bank of Leeds would become:

The institution that financed the next generation of Yorkshire cities.